

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DNR

Date: 5/22/2026

Bill Number: SB 208

Short Title (as it appears on BASIS): AGRICULTURAL LAND; HEMP; STATE VEGETABLE

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

SB 208 upgrades the department's toolkit to manage state agricultural lands and industrial hemp with greater effectiveness and efficiency. The bill empowers DNR to institute a merit-based leasing system, introduce regional per-acre pricing, streamline processes, and offer 20-year leases with a lease-to-own option, enabling more strategic land stewardship and reducing administrative burdens and prioritizing compliance over immediate penalties, supporting a clearer, more manageable compliance framework for DNR to oversee. It also modernizes the industrial hemp program, aligning regulations with federal standards, reducing grower burdens, enforcing a 0.3% δ^9 -THC limit with remediation up to 1%.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

SB 208 makes several major updates across agricultural land management, industrial hemp regulation, and state symbols. In agricultural land management, the bill replaces auction-style allocations with a merit-based process that evaluates applicants on their farm plans, conservation practices, experience, and financial capacity rather than simply the highest bid. It also authorizes longer 20-year leases with renewal options and adds a lease-to-own pathway after seven years of successful agricultural use, supporting long-term investment and more stable farm operations.

For industrial hemp, SB 208 updates Alaska’s regulatory framework by adopting a uniform delta-9 THC limit of 0.3% while allowing remediation for hemp that tests up to 1% THC, reducing unnecessary crop loss and aligning with realistic agricultural conditions. It further modernizes the program with tiered testing, micro-grower categories, clearer seed-source rules, post-harvest testing requirements, isolation distance standards, and streamlined transport processes, all supported by compliance-first enforcement rather than immediate penalties.

Finally, the bill designates the O-S Cross (“giant green cabbage”) as Alaska’s official state vegetable, reflecting Alaska’s agricultural heritage. All provisions take effect upon enactment.

This bill aligns with making the Governor’s priorities to make leasing more affordable and available for farmers to grow more local food which should reduce dependence on imported food.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Sections 1 – 10 relate to industrial hemp:

Section 1 amends AS 03.05.010(a) to authorize the Commissioner to adopt additional regulations governing hemp seed sources, testing standards, isolation distances, tiered grower categories (including micro-growers), transportation, enforcement procedures, and corrective-action plans.

Section 2 amends AS 03.05.010(c) to require notification to the Marijuana Control Board and Department of Public Safety of repeated or knowing violations of industrial hemp statutes and regulations. Requires federally compliant testing methods that account for measurement uncertainty. Clarifies enforcement thresholds for delta-9 THC content, requiring stop orders for hemp exceeding 1% THC, and allowing registrants with crops testing between 0.3% and 1% THC to recondition, remediate, or convert the crop prior to destruction.

Section 3 adds a new subsection (e) to AS 03.05.010 authorizing the Commissioner to use

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

corrective-action plans when addressing industrial hemp violations.

Section 4 amends AS 03.05.076(a) to revise registration requirements by incorporating tiered grower classifications based on acreage or plant count and removes prior felony-related eligibility language.

Section 5 amends AS 03.05.076(b) to change a reference to “future years” to “future growing seasons” and allows for remediation or conversion of industrial hemp testing between 0.3% and 1% THC.

Section 6 amends AS 03.05.076(c) to extend department inspection notice requirements from three days to ten days.

Section 7 amends AS 03.05.076(d) to authorize reduced or waived fees for micro-growers and updates violation notification provisions.

Section 8 amends AS 03.05.076(e) to allow the adoption of regulations eliminating certain in-state transport permits and to allow risk-based random testing and inspections.

Section 9 amends AS 03.05.079 to clarify that registered producers may remediate or convert industrial hemp testing between 0.3% and 1% THC.

Section 10 adds a definition of “micro-grower” to AS 03.05.100.

Sections 11 - 21 relate to the sale and lease of state land for agricultural uses:

Section 11 amends AS 38.04.020(i) to make conforming changes to allow for the method of sale of land for agricultural uses established in Section 13 of this bill.

Section 12 amends AS 38.05.059 to require the publication of fee schedules, to allow prices below market rate, and to state that money collected from the sale of agricultural land shall be deposited into the state land disposal fund. States that agricultural land may be offered for sale at public auction, by sealed bid, or as provided in subsection (b). States that land sold under this section is subject to AS 38.02.321 and must be used for agricultural uses.

Section 13 adds new subsections (b) – (d) to AS 38.05.059, creating an optional merit-based process for the sale of state land for agricultural uses.

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

Subsection (b) allows the department to solicit applications for the purchase of agricultural land. Requires the applicant to provide information on their plans for working the land and their qualifications to do so.

Subsection (c) requires applications to be evaluated using criteria established in regulation in consultation with the Director of Agriculture.

Subsection (d) requires that a successful purchase proposal be determined to be in the best interest of the state, and that when multiple applications are received, the purchase is awarded to the highest scoring eligible proposal. Applications are public record and an aggrieved applicant may file an appeal.

Section 14 makes conforming changes to AS 38.05.069(d), which is within the section of statute providing first preference for agricultural land sales to owners of adjacent agricultural land, to allow for the method of leasing state land created in Section 8 of this bill.

Section 15 amends AS 38.05.070(c) to allow the Commissioner to void leases made under the new program established in Section 8 of this bill if the land is not being used for agricultural uses.

Section 16 amends AS 38.04.070(e) to allow renewals for leases under new section AS 38.04.084, to require notice of renewals, and limit renewals to 20 years.

Section 17 amends AS 38.05.075(a) to exclude the new leasing program created in Section 8 from the bidding process for selling state land.

Section 18 adds a new section of statute, AS 38.05.084, to allow lease of state land for agricultural uses.

Subsection (a) allows the Commissioner to lease land for agricultural uses in the manner described in this section. Requires land leased under this section to be limited to use for agricultural uses but allows construction of homes for farmers and farm laborers on the land.

Subsection (b) allows an individual to select and apply to lease a parcel of land. Requires the applicant to provide information on their plans for working the land and their qualifications to do so.

Subsection (c) requires the evaluation of applications in consultation with the Director of

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

Agriculture using criteria established in regulation.

Subsection (d) requires the department to solicit competitive interest upon receipt of an application for a lease. Requires that a successful lease proposal be determined to be in the best interest of the state, and that when multiple applications are received, that the lease be awarded to the highest scoring eligible proposal. Applications are public record and an aggrieved applicant may file an appeal.

Subsection (e) provides for lease periods, including renewals, not to exceed 20 years. Requires the establishment in regulation of criteria for lease renewals, terminations, and requiring land be returned to the state. Allows for the modification of lease terms due to economic hardship or other extenuating circumstances.

Subsection (f) allows for leases to be sublet or transferred upon department approval.

Subsection (g) gives first preference for purchase of a parcel of land to the lessee if they have used the land for agricultural uses for at least seven years and are in compliance with the terms of their lease.

Subsection (h) requires that a fee schedule be established in regulation and allows for rent to be set below the fair market rate.

Subsection (i) requires appraisals or surveys only if deemed necessary by the Commissioner and requires inspections of leased land by the department to ensure compliance with lease terms and conditions.

Subsection (j) requires leased land to be inspected by the department at least once every two years, allowing for virtual or drone inspections in addition to in-person inspections.

Subsection (k) allows for civil penalties for violations of lease terms and conditions under a fee schedule established in regulation.

Subsection (l) requires the Commissioner to adopt regulations establishing a lease-purchase program.

Subsection (m) provides a definition of “agricultural uses.”

Section 19 makes conforming changes to AS 38.05.102 to allow lessee preference to purchase land under the new program created in Section 8.

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

Section 20 amends AS 38.05.321(g) to allow enforcement of perpetual covenants under new subsection (k).

Section 21 adds a new subsection (k) to AS 38.05.321 to allow the department to assess civil penalties for failure to comply with this section and its implementing regulations.

Sections 22 – 27 relate to industrial hemp, the lease and sale of agricultural land, and the official state vegetable:

Section 22 adds a new subsection (g) to AS 43.61.010 to state that taxes imposed under (a) do not apply to industrial hemp produced in compliance with AS 03.05.076 or to a product made from industrial hemp if the product contains not more than 0.3 percent delta-9-tetrahydrocannabinol content on a dry-weight basis as determined by testing that complies with the requirements of AS 03.05.010(c).

Section 23 adds a new section, AS 44.09.055, naming the giant green cabbage the official state vegetable.

Section 24 adds a new section to the uncodified law relating to the transitioning of registrants. States that the department may not require the destruction of industrial hemp or hemp product lawfully held by a registrant if the hemp or product satisfies the testing standard in AS 03.05.076(c).

Section 25 adds a new section to the uncodified law allowing the department to draft regulations to implement provisions in Sections 1 – 10, 22, and 24.

Section 26 provides an immediate effective date for Sections 23 and 25.

Section 27 provides an effective date of January 1, 2026, for Sections 1 – 10, 22, and 23.

Section 28 provides an effective date of January 1, 2027, for provisions not mentioned in Sections 26 and 27.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

committee – please indicate the name of the legislator that sponsored the amendment.

Representative Delena Johnson sponsored HB 202 naming OS Cross Cabbage as the official state vegetable. The provisions in HB 202 were added to SB 208 via an amendment offered by Representative Johnson.

Representative Kevin McCabe sponsored HB 325 relating to Industrial Hemp.. The provisions in HB 325 were added to SB 208 via an amendment offered by Representative McCabe.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Farm Bureau, Amy Seitz policy director (907) 252-5064 supported this bill in every hearing. Margaret Azdit, Alaska Farmland Trust (907) 982-4387 supported this bill in most hearings. Emily Garrity, owner Twitter Creek Farms in Homer, 907-299-4717 testified in support of this bill. There was zero opposition to the leasing portion of the bill.

The Hemp bill was supported by a group called “Sacred Seeds”. Not sure of any other opposition.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

A strong option for a signing ceremony is the **Alaska State Fair during Agriculture Day**, which traditionally draws high public turnout, substantial media coverage, and showcases Alaska’s agricultural community. Hosting the event there would highlight the agricultural benefits of SB 208 and reinforce the State’s support for long-term agricultural development. Another option is the **Ninilchik Fair**, held **August 14–16**, which offers an agriculture-focused venue with close connections to local growers and program partners. Potential invitees include Emily Garrity (907-299-4717), Amy Seitz (907-952-5064), Senator Bjorkman, Representatives McCabe and Johnson, Division of Agriculture Director Scoresby, and Rachel Longacre, Chief of Operations for the Division of Mining, Land and Water, for on-site coordination.

Commissioner’s Signature:  Date: 5/22/2026

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

CONFIDENTIAL & DELIBERATIVE